

# FEDERAL MARITIME COMMISSION

## Office of Administrative Law Judges

HAPAG-LLOYD, A.G. AND HAPAG-LLOYD (AMERICA) LLC –  
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

**DOCKET NO. 21-09**

Served: December 20, 2021

**ORDER OF:** Erin M. WIRTH, *Chief Administrative Law Judge*.

### ORDER REJECTING PROPOSED SCHEDULE

On November 10, 2021, the Commission issued an Order of Investigation and Hearing (“Order”) initiating this proceeding and Respondents filed an answer on December 6, 2021. The Order requires an expedited proceeding with discovery completed within 90 days of service of Respondents’ answer and the initial decision issued within 75 days after completion of discovery, so that the proceeding would take about six months. Order at 7-8. Due to the expedited nature of the proceeding, the parties were ordered to confer and file a joint status report addressing eight specific issues within ten days of service of Respondents’ answer. The parties filed their joint status report and proposed schedule (“JSR”) on December 16, 2021.

The parties indicate in their JSR that they have discussed the eight issues raised in the initial order but have not reached agreement on any of them. The parties acknowledge that the pending motion to intervene may impact the schedule but neither party has yet filed a response to the motion. The parties do not state whether or not initial discovery requests have yet been exchanged. The parties propose the following schedule, “based on the status quo” and “subject to change.” JSR at 2.

|                  |                                                    |
|------------------|----------------------------------------------------|
| February 7, 2021 | Last date to serve written discovery requests      |
| March 7, 2022    | All discovery completed                            |
| March 21, 2022   | Joint Stipulation of Facts to be completed, if any |
| April 4, 2022    | Last date to file dispositive motion, if any       |

This schedule will not allow the proceeding to be completed within the required time period and is not acceptable. The parties have not agreed to any limits on discovery, have not stipulated to any facts, and have not determined whether expert witness testimony will be required. The proposed schedule appears to expend the entire 90-day time frame on written discovery. It does not include a time frame for depositions or expert witness discovery.

The parties were specifically advised that: “To allow time for consideration of the parties’ arguments and preparation of an initial decision, the briefing period will need to be shortened and/or included in the discovery period.” Initial Order at 1. The proposed schedule does not include the briefing schedule at all. In addition, dispositive motions at the close of discovery

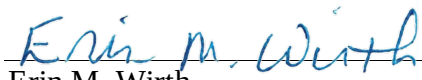
are disfavored in Commission proceedings as it is more efficient to move to briefing where factual disputes can be resolved.

The parties will be given one more opportunity to propose a good faith schedule that resolves the proceeding within the time frame required by the Commission. Initial discovery requests should be exchanged forthwith and the deadlines for responding to that discovery should be shortened. The parties should discuss stipulations of fact to limit the issues for which discovery is needed. Unless the parties agree to limit discovery, the schedule must allow time for depositions and expert witnesses. The parties should begin scheduling any depositions to ensure they can be completed during the limited discovery period. In addition, the schedule will need to include time for filing of BOE's brief, proposed findings of fact, and appendix; Respondents' opposition brief, proposed findings of fact, responses to BOE's proposed findings of fact, and appendix; and BOE's reply brief, as well as time to prepare a considered decision, which is due on May 23, 2022.

Due to the expedited nature of this proceeding, it is not possible to follow the deadlines imposed by the Commission's Rules. The Commission has required that this proceeding be completed in about half of the time normally allotted. Therefore, pursuant to the presiding officer's right to waive rules "if the expeditious conduct of business so requires," 46 CFR § 502.10, all deadlines will be shortened to half the time allowed by the Rules, rounded up. So, a fifteen-day deadline, for example to respond to a dispositive motion, is shortened to eight days. A seven-day deadline, for example to respond to a non-dispositive motion, is shortened to four days. A thirty-day deadline is shortened to fifteen days. It is recommended that responses to discovery, time to prepare briefs and responses, and other deadlines be similarly shortened.

A ruling cannot be issued on the motion to intervene, because the parties have not yet filed their responses. Those responses are due by December 24, 2021, and that deadline will not be shortened because the parties were not previously advised that deadlines would need to be shortened. The parties should address in their responses to the motion to intervene the impact that intervention would have on the schedule and should propose any limitations that would reduce the impact on the schedule in this proceeding.

For the reasons outlined above, it is hereby **ORDERED** that the parties file a second joint status report with proposed schedule that meets the above-stated requirements by January 3, 2022. It is further **ORDERED** that all deadlines in the Commission's Rules during the proceeding before the undersigned be shortened by fifty percent, rounded up to a full day.

  
Erin M. Wirth  
Chief Administrative Law Judge